How this was put together

A method note for the general reader

Companion to *The price of a probability*
Ethan Gallant · September 2026 · ethangallant.co.uk

This note sets out where the numbers in the assessment came from, how I checked them, and how I reached the judgements. **No prior knowledge of banking is assumed.** It also records what I got wrong along the way, because a method note that only lists successes is not a method note.

1. The question

When a war breaks out, what does it actually cost, and who can be shown to have paid it?

Most writing about geopolitical risk stops at description: this is serious, this could escalate, watch this space. It rarely lands on a number that somebody has had to put in writing and stand behind.

Banks are the exception, which is why the assessment is about banks.

2. Why a bank is the place to look

A bank lends money. Some of it will not come back, and accounting rules require the bank to set aside an estimate of those future losses *now*, before anyone has missed a payment.

To make that estimate it has to describe the future. It does so with a small set of scenarios, roughly a good world, a normal world and a bad world, and assigns each a probability. **Those probabilities must add up to 100 per cent.**

So if a bank decides the world has become more dangerous, it has to take probability away from the normal world and give it to the bad one. That reassignment costs real money, immediately, in the accounts.

Two more terms, and then the jargon is finished:

- **A management overlay** is money set aside *on top* of what the computer model produced, because management thinks the model is missing something. It is a judgement, written down as a number.
- **Staging** is the bank's grading of how healthy a loan is: stage 1 performing, stage 2 deteriorating, stage 3 in trouble. Moving a loan down the stages costs money too.

The point of all this: a view about a war becomes a figure in a published set of accounts. That is an unusually hard piece of evidence, and it is public.

3. How I found the numbers

Standard Chartered

I started with the bank's own results press release. It showed a total credit impairment charge of $446 million, with a note that part of it was "mostly driven by management overlays relating to the Middle East conflict".

That was suggestive but not usable: a press release does not break the figure down. The breakdown sits in a separate regulatory announcement, the half-year results Part 2 filing, roughly a hundred thousand characters that almost nobody reads, where a passage attributes **$234 million** to the conflict and splits it three ways.

The split adds up exactly: $159m + $14m + $61m = $234m. That mattered. It meant the bank had given a complete account rather than a headline, so I could use the figure without reconstructing it.

First Abu Dhabi Bank, and a dead end

For comparison I wanted a bank inside the region. First Abu Dhabi Bank's own website was down, and every document returned an empty file.

I took the filings from the Abu Dhabi Securities Exchange instead, where the bank is legally required to lodge them. That is not a workaround or a mirror. It is the primary source, and arguably a better one, because it is the version filed with the regulator.

Two more banks, to test whether two was a pattern

Standard Chartered and First Abu Dhabi Bank had moved by almost identical amounts, at almost identical cost relative to profit. **That looked like a finding.** I added Emirates NBD and HSBC specifically to test it, and it did not survive: Emirates NBD went further than either in the first quarter and then unwound the whole thing by June, and HSBC declined to put a figure on it at all.

The symmetry was a coincidence of two data points. Testing it destroyed it, and the real finding is what replaced it: four banks looked at the same war and reached four different answers.

The war itself

Conflict facts come from three **House of Commons Library research briefings**, written by parliamentary researchers for MPs of all parties and non-partisan by design. Using them instead of news coverage removes an argument about sources before it starts.

The chokepoint

The claim the assessment is built on, that **most of the oil going through the Strait of Hormuz has no other way out of the region**, comes from the US Energy Information Administration in those words.

An earlier draft of mine turned that into a number: 87 per cent. Twenty million barrels a day of normal flow, minus 2.6 million of pipeline capacity, equals 87 per cent stranded. It reads well and it is wrong: **the 2.6 million is *spare* capacity available in a crisis, not the total volume that has a route.** The pipelines are bigger than that, but already partly in use.

I replaced it with the agency's own sentence and stated the capacity as capacity. That is weaker-looking and stronger, because the claim now belongs to the EIA rather than to an arithmetic step of mine.

What I could not obtain

Credit rating agency research sits behind paywalls or on pages that would not load. **Rather than cite a rating second-hand, I restructured the assessment so it does not depend on any rating claim at all**, and said so on its final page.

4. The rule that governed everything

A search engine summary is a lead, never a source.

I have this rule because I broke it. An early version of my working file described every figure as traced to a primary source. **That was not true.** Several had come from search result summaries of documents I had not opened.

I went through the file line by line and tagged every figure either **PRIMARY**, read in the bank's own filing, or **UNVERIFIED**, with a standing rule that nothing in the second category could be published.

It caught something. A figure for Emirates NBD's first-quarter charge had been carried for days on secondary reporting. It survived into a late draft, including the summary table on the front page, and I only removed it at the final check. **The argument turned out not to need it.** What replaced it is a sentence saying the bank does not disclose that figure at all, which is more honest and, as it happens, more interesting.

5. How I made the judgement

My central claim is that Standard Chartered's 30 per cent weighting on a sustained Middle East conflict is now too low, and that the right figure is **80 to 90 per cent**. **One caveat is stated up front**: a bank's scenario weighting and an intelligence probability are not the same kind of object, so the comparison is a translation, not an equivalence.

Why those words and those numbers

Probabilities use the **PHIA yardstick**, the scale used across UK government intelligence assessment. It fixes what words mean: "unlikely" is 25 to 35 per cent, "highly likely" is 80 to 90. **The scale has deliberate gaps between the bands.** You cannot say 45 to 55 per cent, because that is where an assessment stops saying anything. Every judgement here sits inside a single band.

Probability and confidence are different things

Probability is how likely the thing is. **Confidence** is how good the evidence behind that estimate is. I state them separately throughout, because a well-evidenced 60 per cent and a guessed 60 per cent are not the same claim.

My central judgement is **80 to 90 per cent, confidence medium**: high confidence on the physical mechanics, because the strait is shut and available bypass capacity cannot replace normal flows; lower confidence on how long the politics will last.

What the judgement rests on

Three things happened in August, after all four banks had closed their books in June:

1. Iran appointed a hardliner to run national security, and his stated conditions for reopening the strait are *wider* than what was on the table in June.
2. **The UAE announced it would cut off all trade with Iran**, its largest single source of imports.
3. The United States announced a greatly expanded sanctions regime.

The reasoning in one line: the only public movement since June has been away from a settlement, and nothing on the record points the other way.

The distinction that keeps this honest

I am not claiming the banks were wrong in June. On what was knowable at the time, their judgement was defensible. My claim is that it is not defensible now.

That is the difference between hindsight and assessment, and it is also the more useful thing to say, because it is about what happens next rather than who was wrong.

6. Setting the things to watch

The assessment ends with indicators: specific, numbered conditions that would show it coming true or falling apart.

I wrote them before looking up the current readings. That is the only way to stop a threshold being quietly set wherever the data already happens to be.

It went wrong once. An early draft set a war-risk insurance trigger at 3 per cent of a ship's value, when the market had been between 3 and 8 per cent for months. The threshold described the present rather than predicting anything, and I reset it. **A threshold that is already breached is not a threshold**, and I have recorded the error rather than quietly correcting it.

I applied two further tests to each indicator: **can I actually observe this from public sources**, and **does it lead or merely confirm**? One indicator was cut for failing the first. Rating actions are kept but labelled as confirming, because agencies move after the damage is visible.

7. What I cut, and why

What	Why it went
Near-identical cost as a share of profit at two banks	A coincidence of two data points; two more banks did not fit
A claim that credit quality improved	The evidence showed only that backward-looking indicators had not worsened at the same time. Not the same thing

What	Why it went
An Emirates NBD figure carried in secondary reporting	Never traced to the bank's own filing
Three Standard Chartered figures, and a comparison against 2024	Not found in the documents I had actually read
Any claim about credit ratings	Could not be verified at source
A fabricated citation	A web search link dressed up as a research institute's work; it cited nothing
Several confident verbs	They claimed more than the filings showed

The work also changed shape once. It began drifting into a study of bank disclosure practice, technically correct and of no interest outside an accounting department, and I rebuilt it to start with the war and work forwards to who pays.

On a last pass I asked a different system to attack the finished assessment as a hostile reader. Ten corrections came back. I accepted nine, including the 87 per cent above. **I rejected one**: a challenge to a trade statistic, which I traced to WTO data cited by the Commons Library and kept, adding the attribution so the question does not arise again. **Being told you are wrong is cheap. Checking which half is right is the work.**

8. The moment the research changed the argument

I expected to argue that the banks were modelling the wrong thing. My earlier work on the 2024 Red Sea disruption found the damage ran through rerouting, insurance and freight cost rather than lost volume: cargo still arrived, later and dearer.

The chokepoint numbers broke that expectation. The Red Sea had an alternative route round the Cape of Good Hope. The Strait of Hormuz has spare pipeline capacity for roughly an eighth of what normally passes through it.

So the banks may well be modelling the right thing after all, and the useful finding is the one underneath: chokepoints are not interchangeable. A scenario built by analogy to the last crisis would have modelled the wrong channel entirely.

That section survives because my prior was wrong, not despite it.

9. What would show this wrong, and what is still open

The assessment lists five conditions that would overturn it: Hormuz reopening, Standard Chartered releasing the money it set aside, Emirates NBD not needing any more, a negotiated settlement, and the bank's next disclosure showing it modelled the other channel. **Each would overturn the judgement rather than soften it. An assessment that cannot be shown to be wrong is not an assessment.**

Two documents also remain unopened: Emirates NBD's first-quarter filing and First Abu Dhabi Bank's 2025 comparable. **Neither is load-bearing.** The first supports a figure I have removed, the second a calculation that now carries its caveat in the text. **I record them rather than leave them out, because the standard I set for four banks applies to my own work as well.**